REPORT

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Features / Metrices

1. Loyalty

Data used: Previous Purchases, Promo Code Used *Condition:* Previous Purchases ≥ 25 AND Promo Code Used = 0
Identifies genuine repeat buyers who return without needing discount incentives.

2. Value Tier

Data used: Purchase Amount (USD), Frequency of Purchases *Condition:* Purchase Amount ≥ $59.76 (dataset avg) AND freq_score ≥ 5 (Weekly/Bi-Weekly/Fortnightly)
Captures customers who spend above average AND buy consistently — both spend quality and cadence must be present.

3. Satisfaction Flag

Data used: Review Rating *Condition:* Review Rating ≥ 3.5
Flags customers with a positive enough experience to sustain continued engagement and be targeted for retention.

4. Subscription Conversion Opportunity

Data used: Subscription Status, Previous Purchases, Frequency of Purchases, Review Rating *Condition:* Subscription Status = 0 AND Previous Purchases ≥ 25 AND freq_score ≥ 5 AND Review Rating ≥ 3.0
Behaviorally loyal, satisfied, high-frequency customers with no formal brand relationship — prime subscription targets.

5. Discount Dependency Index

Data used: Promo Code Used, Discount Applied, Purchase Amount (USD) *Condition:* Promo Code Used = 1 AND Discount Applied = 1 AND Purchase Amount < $59.76
Customers who needed both a promo and a discount and still spent below average — discounts are subsidizing cheap transactions, not driving value.

Key questions addressed:

1. **Who are the genuinely loyal customers vs. those who only buy when there is a discount?**
   1,142 customers qualify as genuinely loyal (25+ purchases, zero promo usage), averaging 37.2 previous purchases and $60.80 spend. The 838 discount-dependent customers reveal the core problem — they used both promo and discount yet spent below average, and 62.5% are subscribed, meaning the subscription program has captured the wrong customers.

2. **What behavioral patterns today predict high customer value over time?**
   High previous purchases combined with zero promo dependency is the strongest predictor of long-term value. High-value customers (819) average $79.97 spend with consistent high-frequency buying. Critically, only 28.2% are subscribed — the brand's most valuable customers are entirely outside its retention system.

3. **Which geographies and demographics are commercially underlevered?**
   Arizona, Tennessee, Virginia and Texas show high avg spend and below-average promo rates — organic demand with no deliberate targeting. Demographically, the 36–45 age group has the lowest promo dependency (41.4%) and above-average purchase history but the lowest subscription conversion — the most commercially ignored segment.

4. **How should the brand restructure its promotional strategy to protect margins without losing volume?**
   Sunset discounts for 443 high-tenure discount-dependent customers starting with Clothing and Accessories — their purchase history proves loyalty, discounts are pure margin leakage. Simultaneously firewall the 326 high-frequency new customers (≤10 purchases) from all promo targeting — they're already buying organically and discount-training them now creates the next DDI cohort.

5. **What does the brand's ideal customer profile look like, and how can it acquire more of them?**
   155 customers at the intersection of all positive features — avg spend $81.50, 38.5 previous purchases, 4.25 rating, zero promo usage, 0% subscribed. Mid-career, Clothing and Accessories focused, concentrated in Arizona, Tennessee and Virginia. Acquisition strategy: look-alike targeting in these states with zero discount incentives at onboarding.

Business Recommendations

Promotional Sunset Plan

Segment: 443 customers with Previous Purchases ≥ 25 AND Discount Dependency Index = 1

Why this segment ?
They have purchased 37+ times on average(loyalty is established). The discount is not retaining them, it is simply reducing margin on transactions that would happen anyway. Organic loyal customers with identical purchase history spend $60.80 without discounts vs $38.47 for this segment with discounts , a $22 per transaction gap caused entirely by discount stacking.

Trigger behavior: Customer has made 25+ purchases AND used both promo code and discount in their most recent transaction.

Rollout timeline:

- Month 1–2: Remove promo eligibility for Clothing buyers in this segment (30 customers, lowest avg spend at $35.50, highest margin recovery potential)
- Month 3–4: Extend to Accessories (285 customers)
- Month 5–6: Extend to Footwear and Outerwear if repeat rate holds

Metric to track: Repeat purchase rate without promo.
Target: maintain ≥65% of pre-sunset purchase frequency. If it drops below that, pause rollout and investigate.

Trade-off: Approximately 10–15% of this segment may be genuinely price-sensitive despite their history and will churn permanently. This is acceptable given the margin recovery on the remaining 85%.

<u>Ideal Customer Profile</u>

Ideal Customer Profile **:** 155 customers at the intersection of Loyalty A , Value Tier, Satisfaction Flag, and zero discount dependency.

Data-backed description:

1. Age 46–55, slight male skew but balanced enough to target both genders
2. Buys Clothing and Accessories primarily
3. Purchases at Monthly or Quarterly cadence (not impulsive)
4. Located in Arizona, Tennessee, Virginia, and Texas
5. Avg spend $81.50, 38.5 previous purchases, 4.25 rating
6. Never uses promos or discounts
7. Not subscribed despite being the brand's most valuable customer type

Targeting brief for marketing team:

1) Run full-price acquisition campaigns in Arizona, Tennessee, and Virginia targeting the 40–55 age bracket in Clothing and Accessories.
2) Zero discount incentives at onboarding this profile responds to brand quality, not deals.
3) Immediate subscription offer at purchase 6-7 before habit is fully formed, since 0% of current ideal customers are subscribed despite 38+ purchases.

Trade-off: Targeting this profile exclusively narrows the acquisition funnel. Volume will be lower than discount-led campaigns but customer lifetime value will be significantly higher and margin per transaction will be protected from day one.

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